

EIGHTH EDITION

Keen's Latin American Civilization

History & Society, 1492 to the Present

Edited by

Robert Buffington
Bowling Green State University

Lila Caimari
Universidad de San Andrés



A Member of the Perseus Books Group

puted as clear proof of the triumph of industrialization and progress: Mexico was approaching the threshold of development.

Beginning in 1970 the decline accelerated and became clear to all. The crash was provoked by the international economic crisis, the greatest since the 1930s, but its deeper causes cannot be assigned solely to the erratic course of foreign markets or unfavorable meteorological conditions. The imports of corn and wheat, uninterrupted since 1972 and with no prospect of improvement in the short range, certainly the most troublesome aspect of the crisis, basically are caused by internal factors linked to the structure of production in the countryside and its articulation with industrial production and the service sector. The "peculiarity" of the new *latifundio*, its internal structure and its relations with other sectors, can serve as the point of departure for an inquiry into the nature and origin of the agricultural crisis.

For my guiding thread I shall take the results of that separation of the control of land from its possession that in good measure determines the composition of capital in Mexican agriculture and sets limits on its accumulation, though not its reproduction. The only land on which the new *latifundista* can make such improvements as irrigation, leveling, and conditioning of the soil, is that which belongs to him. When such land exists, it forms a small portion in relation to the total area in which the entrepreneur operates and whose control he obtains by renting. He will not invest a cent in the rented area, and only in certain types of enterprises—dairies, for example—will he invest in his own land. Basically his profits depend on the extent of the area which he can cultivate, not on the yields that can be obtained. The new *latifundio* grows horizontally, above all, on land which does not belong to it. The disadvantages of investing in this land determine the fact that the major part of the invested capital goes into operating costs, for the purchase of machinery and to cover the costs of cultivation. Agricultural machinery has great importance for the new *latifundio*, not so much because of its technical or economic advantages but because it is the physical instrument by means of which the entrepreneur takes control of the land during critically short periods of time. Thus the production of the new *latifundio* is generally of the extensive type and cannot be transferred to more intensive types of cultivation that require treatment of the soil or other adaptations. On the other hand, the composition of capital explains, in part, the high rate of profit, sometimes amounting to 100% of the investment and normally exceeding the rate of profit achieved in other activities. . . .

Its limitations as concerns investment in the countryside make the new *latifundio* the most effective instrument for achieving the greatest and most rapid transfer of resources from the countryside to other activities. This effectiveness may help to explain the unlimited assistance that the government has given to the most brutal and rapid agency for despoiling the countryside and its inhabitants. But the effectiveness of the new *latifundio* has a high price: the destruc-

tion of natural resources, often nonrenewable. Soils, forests, natural vegetation of economic importance to the peasants are annihilated; meanwhile production, the immoderate use of chemical products becomes indispensable, salinity and erosion grow. Obviously, this enormous price is not paid by the entrepreneurs, but by the peasants who regain the land after it has become a wasteland from which all good has been extracted, while the entrepreneurs search for or demand from the state new lands for their operations. . . .

2. ECONOMIC DEPENDENCY

As the economic power of the United States expanded after World War II, Latin American economists began to reassess their region's role in the global economy. Founded in 1948, the United Nations Economic Commission for Latin America (ECLA, or CEPAL in Spanish) played a central role in that reassessment. One of the commission's most important contributions was this 1950 critique of the classic liberal economic doctrine of "comparative advantage" in which national and regional economies engaged in "free trade" were encouraged to specialize in the economic activities best suited to their level of economic development and to their available natural and human resources. The report's author, Argentine economist Raúl Prebisch, argued that while these policies had proven extremely beneficial to "central," industrialized economies like the United States and Western Europe, they had contributed to the underdevelopment of "peripheral," export-oriented economies other places in the world including Latin America.

In Latin America, reality is undermining the out-dated schema of the international division of labor, which achieved great importance in the nineteenth century and, as a theoretical concept, continued to exert considerable influence until very recently.

Under that schema, the specific task that fell to Latin America, as part of the periphery of the world economic system, was that of producing food and raw materials for the great industrial centers.

There was no place within it for the industrialization of the new countries. It is nevertheless being forced upon them by events. Two world wars in a single generation and a great economic crisis between them have shown the Latin American countries their opportunities, clearly pointing the way to industrial activity.

Raúl Prebisch, *The Economic Development of Latin America and Its Principal Problems*, Economic Commission for Latin America (Lake Success, New York: United Nations Department of Economic Affairs, 1950).

It would be deplorable to fall back on the measures of that kind when a basic solution might be found. It is sometimes thought that, by reason of the enormous productive capacity of the United States, that country could not increase its import coefficient for the purpose of providing the basic solution to the world problem. Such a conclusion cannot be substantiated without a prior analysis of the factors that have caused the United States steadily to reduce its import coefficient. These factors are aggravated by unemployment, but can be overcome when it does not exist. One can understand that it is of vital importance, both to Latin America and the rest of the world, that the United States achieve its aim of maintaining a high level of employment.

It cannot be denied that the economic development of certain Latin American countries and their rapid assimilation of modern technology, in so far as they can utilize it, depend to a very large extent upon foreign investment. The implications involved render the problem far from simple. The negative factors include the failure to meet foreign financial commitments during the great depression of the nineteen thirties, a failure which, it is generally agreed, must not be allowed to happen again. Fundamentally the problem is the same as that referred to in the preceding paragraph. The servicing of these foreign investments, unless new investments are made, must be paid for by means of exports in the same currency and, if these do not show a corresponding increase, in time the same difficulties will arise again. They will be the greater if exports fall violently. The question thus arises whether, pending that basic solution, it would not be wiser to direct investments toward such productive activities as would, through direct or indirect reduction of dollar imports, permit the regular servicing of foreign obligations.

Here one must beware of dogmatic generalizations. To assume that the meeting of foreign commitments and the proper functioning of the monetary system depend upon nothing more than a decision to obey certain rules of the game is to fall into an error involving serious consequences. Even when the gold standard was in operation in the great centers, the countries of the Latin American periphery had great difficulty in maintaining it, and their monetary troubles frequently provoked condemnation from abroad. The more recent experiences of the large countries have brought a better understanding of some aspects of the situation. Great Britain, between the two wars, encountered difficulties somewhat similar to those which arose and continue to arise in the Latin American countries, which have never taken kindly to the rigidity of the gold standard. That experience doubtless helps to bring about a better understanding of the phenomena of the periphery.

The gold standard has ceased to function, as in the past, and the management of currency has become even more complex in the periphery. Can all these complications be overcome by a strict application of sound rules in monetary behavior? Sound rules for these countries are still in the making. Here there arises another vital problem; that of utilizing individual and col-

lective experience to find a means of harmoniously fitting monetary action into a policy of regular and intensive economic development.

Let this not be interpreted as meaning that the classic teachings are of no value. If they do not provide positive rules, they at least show what cannot be done without impairing the stability of the currency. The extremes to which inflation has gone in Latin America show that monetary policy was not based upon these teachings, since some of the larger Latin American countries increased circulation to a greater extent than did those countries which had to meet enormous war expenditure.

There is yet another aspect of the problem of dollar exchange. It is true that, as already stated, a high level of employment increases imports. But it is also a fact that an excessive monetary expansion has often unduly increased the pressure on the balance of payments, thus leading to the use of foreign exchange for purposes not always compatible with economic development.

These facts must be taken into account in an objective analysis of the effects of the inflationary increase on the process of capitalization. It must, however, be admitted that, in most of the Latin American countries, voluntary savings are not sufficient to cover the most urgent capital needs. In any case, monetary expansion does not bring about an increase in the foreign exchange reserves necessary for the importation of capital goods; it merely redistributes income. It must now be determined whether it has led to a more active capital formation.

The point is a decisive one. The raising of the standard of living of the masses ultimately depends on the existence of a considerable amount of capital permanently employed in industry, transport and primary production, and on the ability to use it well.

Consequently, the Latin American countries need to accumulate an enormous amount of capital. Several have already shown their capacity to save to the extent of being able to finance a large part of their industrial investments through their own efforts. Even in this case, which is exceptional, capital formation has to overcome a strong tendency towards certain types of consumption which are often incompatible with intensive capitalization.

Nevertheless, it does not appear essential to restrict the individual consumption of the bulk of the population, which, on the whole, is too low, in order to accumulate the capital required for industrialization and for the technical improvement of agriculture. An immediate increase in productivity per man could be brought about by well-directed foreign investments added to present savings. Once this initial improvement has been accomplished, a considerable part of the increased production can be devoted to capital formation rather than to inopportune consumption.

How are sufficient increases in productivity to be achieved? The experience of recent years is instructive. With some exceptions, the rise in employment necessitated by industrial development was made possible by the use of men

whom technical progress had displaced from primary production and other occupations, especially certain comparably poorly paid types of personal services, and by the employment of women. The industrial employment of the unemployed, or ill-employed, has thus meant a considerable improvement in productivity and, consequently, where other factors have not brought about a general lowering of productive efficiency, a net increase in national income.

The great scope for technical progress in the field of primary production, even in those countries where it has already been considerable, together with the perfecting of existing industries, could contribute, to national income, a net increase that would provide an ever increasing margin of saving.

All this, however, especially in so far as it is desired to reduce the need for foreign investments, presupposes a far greater initial capitalization than is usually possible with the type of consumption of certain sectors of the community, or the high proportion of national income absorbed, in some countries, by fiscal expenditure, which makes no direct or indirect contribution to national productivity.

It is, in fact, a demonstration of the latent conflict existing in these countries between the desire to assimilate, quickly, ways of life which the technically more advanced countries adopted step by step as their productivity increased, and the need for capitalization without which this increase in productivity could not be achieved.

For the very reason that capital is scarce, and the need for it great, its use should be subjected to a strict standard of efficacy which has not been easy to maintain, especially where industries have developed to meet an emergency. There is, however, still time to correct certain deviations and, above all, to avoid them in the future.

In order to achieve this, the purpose of industrialization must be clearly defined. If industrialization is considered to be the means of attaining an autarchic ideal in which economic considerations are of secondary importance, any industry that can produce substitutes for imports is justifiable. If, however, the aim is to increase the measurable well-being of the masses, the limits beyond which more intensive industrialization might mean a decrease in productivity must be borne in mind.

Formerly, before the great depression, development in the Latin American countries was stimulated from abroad by the constant increase of exports. There is no reason to suppose, at least at present, that this will again occur to the same extent, except under very exceptional circumstances. These countries no longer have an alternative between vigorous growth along those lines and internal expansion through industrialization. Industrialization has become the most important means of expansion.

This does not mean, however, that primary exports must be sacrificed to further industrial development. Exports not only provide the foreign ex-

change with which to buy the imports necessary for economic development, but their value usually includes a high proportion of land rent, which does not involve any collective cost. If productivity in agriculture can be increased by technical progress and if, at the same time, real wages can be raised by industrialization and adequate social legislation, the disequilibrium between incomes at the centers and the periphery can gradually be corrected without detriment to that essential economic activity.

This is one of the limits of industrialization which must be carefully considered in plans of development. Another concerns the optimum size of industrial enterprises. It is generally found in Latin American countries that the same industries are being attempted on both sides of the same frontier. This tends to diminish productive efficiency and so militates against fulfilling the social task to be accomplished. The defect is a serious one, which the nineteenth century was able to attenuate considerably. When Great Britain proved, with facts, the advantages of industry, other countries followed suit. Industrial development, however, spurred by active competition, tended towards certain characteristic types of specialization which encouraged profitable trade between the various countries. Specialization furthered technical progress and the latter made possible higher incomes. Here, unlike the case of industrial countries by comparison with those producing primary products, the classic advantages of the division of labor between countries that are equal, or nearly so, followed.

The possibility of losing a considerable proportion of the benefits of technical progress through an excessive division of markets thus constitutes another factor limiting the industrial expansion of these countries. Far from being insurmountable, however, it is a factor which could be removed with mutual benefit by a wise policy of economic interdependence.

Anti-cyclical policies must be included in any programs of economic development if there is to be an attempt, from a social point of view, to raise real income. The spread of the cyclical fluctuations of the large centers to the Latin American periphery means a considerable loss of income to these countries. If this could be avoided, it would simplify the problem of capital formation. Attempts have been made to evolve an anti-cyclical policy, but it must be admitted that, as yet, but little light has been thrown on this subject. Furthermore, the present dwindling of metallic reserves in several countries means that, in the event of a recession originating abroad, they would not only be without a plan of defense but would lack means of their own to carry out the measures demanded by the circumstances.

The principal problems having been set forth in this first part of the report, the following sections will be devoted to some of their outstanding aspects, which must be discussed both on account of their intrinsic importance and of the need for carrying out systematic research on them.

Who are the winners and losers by the fiasco of the neo-liberal economic policy of Salinas and Zedillo, made evident by the recent massive devaluation?

The winners, if such there be, are the great national and foreign capitalists, the *money barons*—the international financial speculators, who consumed the Mexican foreign exchange reserves used to prop up the stock market and the money market and to guarantee the repatriation of their capital when the crisis was imminent, and who have now returned to buy up at bargain prices the shares of the remaining Mexican companies. The great Mexican-American commercial enterprises, which are hiding and marking up their imported and domestic goods. The moneychangers who speculate with foreign exchange. In a word, the handful of beneficiaries of the past and present neo-liberal policy.

The losers are the losers of yesteryear. The small and medium-size agricultural, industrial, commercial, and service enterprises whose market has disappeared as a result of unequal competition with the monopolies and imported merchandise or as a result of the recurring and now aggravated collapse of the domestic market. The enterprises asphyxiated by debts in dollars or pesos—borrowed at high rates of interest, with high bank charges—that have come due, enterprises now menaced by the devaluation and the rise of interest rates. The entrepreneurs who lack liquidity, who cannot replace their equipment or modernize because of the high cost of imported machinery and equipment and who cannot obtain it in the domestic market because of the stagnation of the local capital goods industry.

Hardest hit are the wage earners on all levels, suffering from two decades of wage ceilings and the decline of their real income, and now obliged by a pact between government and employers to accept a ten percent wage increase that only hours later was nullified by a devaluation, decreed by the same government, whose inflationary impact cannot be foretold. Other losers are the new unemployed and the workers in the "informal" sector, who will have fewer clients for their subsistence activities. Will the workers silently accept this new and violent expropriation of their means of subsistence? Will they continue to submit to the iron control of a trade union bureaucracy fused with capital and its authoritarian state? Other losers will be the millions of debtors to banks and credit cards who believed the claims of stability, who went into debt and now must pay at exchange and interest rates much higher than when they contracted their debts. The spoliation of the majority of Mexicans in 1982 is being repeated; then they assured us that thanks to neo-liberalism it could not happen again.

Ahead lie new threats. In the field of politics, the threat of a hardening of authoritarianism in Chiapas, Tabasco, Veracruz, Guerrero, Oaxaca, and other impoverished and oppressed rural and urban areas whose just demands for justice, democracy, and development may be stifled with repressive violence: The bully boys of the economic and political elite have tried to convince themselves and everybody else that the problems of the economy and

the nation stem from "nonconformity." They will make a great mistake to think that all of Mexican society accepts this lie and that they have the support and justification they need to strike an exemplary blow. We must show them that they are wrong, that Mexicans yearn for peace with justice and dignity and will not accept this false solution.

In the field of economics, the PRI government's policy, delineated by Zedillo on December 29, will once again, in the name of "fighting inflation," tighten the screw of wage austerity and public spending in order to transfer all the costs of the crisis to the workers and taxpayers. He spoke of unspecified fiscal measures that will surely affect the welfare of the broad masses and expand the privatization of state companies (the state oil monopoly, Pemex, the state electricity company, and the state railroads may be among them, since very few are left), the infrastructures (roads, transport, communication), and services (Social Security, schools and universities, etc.) in order to cover the approaching fiscal deficit. These measures were foreshadowed in Zedillo's electoral campaign. The national patrimony, constructed with the taxes of all Mexicans, will continue to be auctioned off to the highest foreign or national bidders, transferred for their individual benefit, while the taxpayers will continue to pay the enormous sumptuary expenses of the bureaucracy and the costs of the crisis of their policy. At the same time we will have to pay twice for public services, a just and lawful payment to the treasury and another to the private entrepreneurs. One more blow to the national sovereignty and the pockets of Mexicans.

Zedillo said nothing about modifying the neo-liberal policy or about a new social policy, or about attacking the structural causes of this new crisis of Mexican capitalism; he spoke of deepening the policy, of purely conjunctural adjustments and more sacrifices for Mexicans. He fired the Secretary of the Treasury, made a scapegoat, but the nature of the government was unchanged. Zedillo's electoral promise of "wellbeing for the Mexican family" (whose family?) revealed its demagogic character only three weeks after he took office. "Zedillo knows how to get things done"; he learned from his neo-liberal teachers in the United States and got his practice in Salinas's government. Because of the characteristics of the Mexican government, we will have to stand six whole years of this political and economic drama. For us there does not exist the possibility, which exists in truly democratic countries, of a change of government.

6. LULA SPEAKS OUT

As economic crisis followed economic crisis in Latin America, the relative complacency of the late 1990s gave way to a growing distrust of the neo-liberal economic policies

demanded by international lenders like World Bank and the International Monetary Fund, with the support of major economic "players" like the United States, the European Union, and Japan. The 2002 election of a former autoworker and labor organizer, Lula da Silva, to the presidency of Brazil, occurred just a few months after the Argentine economy nearly collapsed, an event that had profound repercussions throughout the region, especially in Brazil. The popular appeal of Lula's critique of neo-liberal economics made him a logical spokesperson for the interests of marginalized peoples and nations throughout the world. Moreover, his political influence over Latin America's largest economy ensured that the "developed" countries would listen. In this 2003 speech to the World Economic Forum's annual meeting in Davos, Switzerland, Lula lays out an ambitious agenda for Brazil, Latin America, and the world.

As you know, I have come straight from Porto Alegre, where I took part in the World Social Forum and spoke to tens of thousands of people on the same subjects that I intend to address here. The core theme of the Annual Meeting of the World Economic Forum is "Building Trust." I feel very comfortable with this theme.

The Brazilian people have placed their trust in me, giving me the responsibility of running a country with a population of 175 million, one of the world's biggest industrial economies. But a country that also lives with huge social inequalities. I bring to Davos the feeling of hope that has gripped the whole of Brazilian society. Brazil has rediscovered itself, and this rediscovery is being expressed in its people's enthusiasm and their desire to mobilize to face the huge problems that lie ahead of us.

Here in Davos, it is generally assumed that there is now only one god—the market. But free and secure citizens are one of the main prerequisites for a free market.

I responded calmly and maturely to those who did not trust the commitments we made during the electoral campaign. In my Letter to the Brazilian People, I stressed my willingness to implement deep economic, social and political reforms, whilst showing respect for the country's contracts and securing a balanced economy.

Brazil is working to reduce its social and economic inequalities, deepen its political democracy, guarantee public freedoms and actively promote human rights.

These inequalities are most visible in the more than 45 million Brazilians who live below the poverty line. The most dramatic form of these inequalities is the hunger that affects tens of millions of our brothers and sisters. For this reason, we have made the fight against hunger our top priority. I will

Lula da Silva, "Address to the Annual Meeting of the World Economic Forum in Davos, Switzerland, January 26, 2003."

never tire from repeating my commitment to ensuring that every Brazilian can have breakfast, lunch and supper every day.

The fight against hunger is not only the government's task; it belongs to the whole of society. Structural changes are a prerequisite for the eradication of hunger. It requires the creation of decent jobs, along with better investments, a substantial increase in domestic savings, expansion of domestic and export markets, high-quality health and education provision, and cultural, scientific and technological development. Brazil must promote agricultural reform and achieve a return to economic growth as a way to distribute income. We are establishing clear, stable and transparent economic rules, and are implacably fighting corruption. Our infrastructure must be developed, and this will involve foreign investment.

We are a hospitable country. The Brazilian people are characterized by tolerance and solidarity. We have a skilled workforce, ready to meet the huge challenges of production in the 21st century. To achieve future growth we need to overcome external constraints. Brazil has to break the vicious circle whereby it takes on new loans to pay existing ones. We need to make an extraordinary effort to expand our international trade, in particular our exports, diversifying into new products and markets, and adding value to what we produce.

The efforts we are making to revive the Brazilian economy in a responsible way will not however be fully realized without major changes in the world economic order. We want free trade, but free trade that is reciprocal. Any export efforts we might make will be worth nothing if the rich countries continue to preach free trade and practice protectionism. The required changes in the world economic order must also involve a greater discipline in capital flows, which move around the world at the mercy of subjective rumors and speculation with no basis in reality. The international community needs to play a role in preventing the illegal flight of capital seeking refuge in tax havens.

Greater discipline in this area is vital if we are to effectively combat international terrorism and crime, both of which are fed by money laundering.

Constructing a new international economic order that is both fairer and more democratic is not only an act of generosity, but also, and principally, a demonstration of political astuteness. More than ten years following the fall of the Berlin Wall, there are still walls separating the well-fed from the hungry, those who have work from the unemployed, those with decent homes from those who live in the street or in miserable slums, those who have access to education and humanity's cultural heritage from those who are submerged in illiteracy and complete alienation.

New ethical standards are also required. It is not enough to proclaim the values of humanism. These values must also prevail in relations between countries and peoples. Our foreign policy is firmly focused on the pursuit of peace and negotiated solutions to international conflicts, and to the unpromising defense of our national interests.

Peace is not just a moral objective. It is an imperative of reason. This is why we maintain that disputes must be resolved by peaceful means and under the aegis of the United Nations. We have to accept that poverty, hunger and deprivation are very often the breeding ground of fanaticism and intolerance. Protecting national interests is not incompatible with co-operation and solidarity. Our domestic policies are not hostile to foreigners, they are universalist.

We are looking to develop closer relationships with other South American countries and to increase economic, commercial, social and political integration with them. We would also like to develop increasingly positive relationships with the United States, the European Union, and Asia. As the country with the second largest black population in the world, we feel a special affinity for Africa, a continent with which we have very close ethnic and cultural ties.

I would like to invite all of you here today, on this "Magic Mountain" of Davos, to look at the world through different eyes. It is vital that we build a world economic order than can satisfy the yearnings of those billions of people who are today excluded from the extraordinary scientific and technological advances that humankind has achieved. Do not just sit and wait for signals that the time has come for a change of attitude towards my country and the countries in the developing world.

Peoples, like individuals, need opportunities. The nations that are rich today are rich only because of the opportunities they have had in the past. If those nations wish to be true to their past successes, they cannot and must not put barriers in the way of developing countries. On the contrary, they can and must work with us to build a new agenda for shared global development.

Brazil has already started to change, you may be sure of that. Our determination is not only the result of the commitments we made many years ago; it is also fuelled by the hope that is driving our country. I know that contemporary debate is full of divergent opinions and different, even conflicting, world visions. I am president of the entire Brazilian people, not just those who voted for me. We are looking to build a new social contract in which all forces of Brazilian society are represented and heard. To this end, I am seeking dialogue with all sectors, all of which will be represented in the Council for Economic and Social Development. I will be seeking contacts and sources of support for our plans to change Brazilian society, wherever they may be found.

The change we are seeking should not benefit just one social, political or ideological group. But most of all it should benefit the vulnerable, the deprived, and the persecuted, and who now see the possibility of personal and collective redemption. This is a cause we can all adopt. It is a universal cause par excellence.

As the largest and most industrialized country of the southern hemisphere, Brazil feels it has both a right and a duty to call on all those attending the Davos Forum to exercise good sense. We would like to appeal to you to

make scientific discoveries universally available, so that their benefits can be enjoyed by all countries of the world.

To this same end, I would like to call upon the Group of Seven nations, with the support of major international investors, to establish a new International Fund to tackle poverty and hunger in the Third World. The road to building a fairer world is a long one, and hunger cannot wait. My greatest desire is that the hope that has overcome fear in my country will help vanquish it around the world. We urgently need to unite around a worldwide pact for peace and against hunger. Brazil will play its part.

7. UNPREDICTABLE VENEZUELA

Since he first became president of Venezuela in February of 1998, Hugo Chávez—a soldier who first came to national prominence as part of a failed 1992 military coup—has become the new symbol of Latin American populism. Running on an anti-corruption and anti-poverty platform, and condemning the two major parties that had dominated Venezuelan politics since 1958, he was reelected in 2000, this time by the largest majority in four decades. Chávez, whose terms runs until 2006, has deeply antagonized the landed and commercial elite of Venezuela, as well as the commercial media. In April 2002, a coup ousted him from power, until a chorus of international criticism—to which the United States, notably, did not add its voice—and an outpouring of support from Venezuela's poor returned Chávez to power after only two days. But polarization remained, and in 2003 it led to a general strike that virtually paralyzed the nation and brought its oil exports to a grinding halt. Chávez has also alienated the government of the United States with public displays of friendship for Fidel Castro, and by his opposition to the 2003 invasion of Iraq. Political analyst Steve Ellner offers an assessment of this chapter of nationalist populism in the context of globalization.

Chávez is the first elected Latin American state leader since the administration of Alan García in Perú in the 1980s who has defied the United States and other powerful international actors of the "new world order." During this period, he has been the only President on the continent who has followed an independent foreign policy and has called for long term changes in the country. In this respect, Chávez could be helping to define the limits of change in the era of globalization. Much like García, he has opposed neo-liberalism and has been harshly criticized by the United States. However,

Steve Ellner, "Venezuela imprevisible. Populismo radical y globalización" in *Nueva Sociedad* 183 (January-February 2003). Bibliographic references from the original text have been eliminated. Excerpt translated by the editors.